

Stanbic Bank: 3Q21 Earnings Note

Stanbic Bank 3Q21 EPS edged up 43.19% to KES 29.97 higher than our expectations of KES 27.42. PAT edged up 43.22% y/y to **KES 5.11Bn** driven by a 8.64% y/y increase in Total operating income to **KES 17.48Bn** supported by interest income from Government securities and reduced cost on deposits. Customer deposits reduced 5.82% (slower than our forecast of a 17.02% decrease) to **KES 212.81Bn** while the loan book grew 11.18% to **KES 205.55Bn** (better than our expectation of a 12% decline).

- **Net Interest Income outpaces Non funded Income:** Net interest income growth of 12.19% was below than our expectations having grown to **KES 10.03Bn** mainly driven by income from government papers and a reduction in interest expense. Non-funded income grew 4.20% (slower than our expectations of a 30.7% increase) to **KES 7.45Bn** leading the revenue mix to shift to 43:57 for NII:NFI from 44:56 in 3Q20. Net interest margin (NIM) came in at 4.30%.

- **Staff costs weighs down on efficiency:** The CTI ratio worsened to 51.12% mainly on the back of a 12.51% increase in staff costs to **KES 4.49Bn** despite continued investments in digital channels. The CTI reduction is also attributable to a faster increase in Operating Expenses less impairment provisions (-15.50% y/y to **KES 8.94Bn**) compared to a 8.64% growth in Total Operating Income. In line with observed industry trend, Loan loss provision decreased 48.36% y/y to **KES 1.51Bn** (+30.51% q/q) indicating a perception of reduced lending risk.

- **Asset quality concerns persists:** Gross NPLs increased by 2.49% y/y to **KES 21.71Bn**. NPL ratio Improved by 81 bps to 11.51% from 12.32% in 3Q20 below the current industry average of 13.60%. Consequently, the NPL Coverage worsened to 54.93% from 61.76% in 3Q20. The shift in asset mix to more local currency lending supported by better economic conditions will create a better lending environment and therefore we expect the bank's asset quality to continue improving in the coming quarters.

Outlook

The bank's results were driven by increased Interest income from government securities, growth in Non funded income and reduced provisioning. Reduction in loan loss provision and a double digit growth in loans point to an improved outlook of the lending environment. We expect the bank to close FY21 better then the previous year.

26th November 2021

Current price: KES 91.00

Target price: KES 79.00

Upside: 40.44%

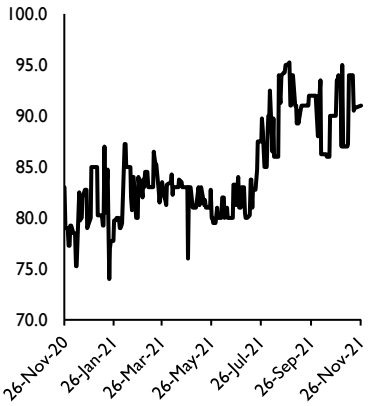
52 Week High: KES 95.25

52 Week Low: KES 74.00

YTD Performance: 7.06%

EPS (3Q21): 29.97

Stanbic



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Table 1 : Financial Statement Summary

Income Statement (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y % Change
Interest from Loans	10,694	14,372	7,101	10,852	52.81%	1.48%
Interest from Gov Securities	3,228	4,526	2,431	3,597	47.97%	11.42%
Interest Income	14,560	19,709	9,785	14,795	51.21%	1.62%
Interest Expense	5,621	7,541	3,250	4,766	46.66%	-15.20%
Net Interest Income	8,939	12,168	6,535	10,029	53.48%	12.19%
Non Interest Income	7,154	9,805	5,238	7,454	42.31%	4.20%
Total Operating Income	16,093	21,973	11,772	17,483	48.51%	8.64%
Loan Loss Provision	2,933	4,307	1,161	1,515	30.51%	-48.36%
Operating expenses	10,672	15,736	7,096	10,452	47.29%	-2.05%
Profit Before Tax	5,421	6,237	4,676	7,031	50.36%	29.68%
Profit For the period	3,570	5,224	3,380	5,113	51.25%	43.22%
Basic and Diluted EPS	20.93	30.63	19.82	29.97	51.21%	43.19%

Balance Sheet (KES Millions)	3Q20	FY20	1H21	3Q21	q/q % Change	y/y% Change
Cash Balances	16,974	18,077	14,705	12,343	-16.07%	(27.28%)
Government Securities	103,446	87,584	77,597	66,154	-14.75%	(36.05%)
Net Loans	158,863	158,182	165,146	176,623	6.95%	11.18%
Total Assets	317,769	318,986	319,955	205,024	-35.92%	(35.48%)
Customer Deposits	226,005	216,805	228,919	212,851	-7.02%	(5.82%)
Total Liabilities	277,457	277,129	276,344	250,292	-9.43%	(9.79%)
Total Shareholder Equity	40,311	41,857	43,611	44,732	2.57%	10.97%

Key Ratios	3Q20	FY20	1H21	3Q21	y/y % points
Loan to Deposit	70.29%	72.96%	72.14%	82.98%	12.69%
NFI to Total Income	44.45%	44.62%	44.49%	42.63%	(1.82%)
NII to Total Income	55.55%	55.38%	55.51%	57.37%	1.82%
Cost to Income	48.09%	52.01%	50.42%	51.12%	3.04%
Liquidity Ratio	61.20%	56.40%	53.30%	44.20%	(17.00%)
Core Capital/TRWA	15.70%	17.00%	16.20%	15.60%	(0.10%)
Total Capital/ TRWA	17.90%	19.10%	18.30%	17.60%	(0.30%)

Source: ABSA, AIB-AXYS



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